

Brokenco Industries, Inc.

Annual Report — Fiscal Year 2025

This Annual Report includes management's discussion, risk factors, and the audited consolidated financial statements. All figures in millions of US dollars unless otherwise noted.

Management's Discussion and Analysis

Management's Discussion and Analysis of Financial Condition and Results of Operations.

During the fiscal year the Company continued to execute against its long-term strategic plan, investing in product development, go-to-market capabilities, and operational scale. Revenue growth was driven by expansion within existing accounts as well as the addition of new logos across our core verticals.

We believe our gross margin profile reflects the durability of our pricing and the increasing mix of higher-margin software and services. Operating expenses grew at a slower rate than revenue as we realized leverage in sales and marketing and general and administrative functions.

Liquidity and Capital Resources. The Company funds its operations primarily through cash generated from operations. As of the balance sheet date we held cash and cash equivalents sufficient to meet anticipated working-capital and capital-expenditure needs for at least the next twelve months. Total debt remained modest relative to equity.

Risk Factors

Critical Accounting Estimates. The preparation of consolidated financial statements requires management to make estimates and assumptions that affect reported amounts of assets, liabilities, revenues and expenses. Actual results may differ from these estimates.

Risk Factors. Our business is subject to numerous risks, including competition, macroeconomic conditions, customer concentration, supply-chain disruption, and changes in the regulatory environment. Any of these factors could materially affect our results of operations or financial condition in future periods.

Forward-Looking Statements. This report contains forward-looking statements within the meaning of the applicable securities laws. These statements involve known and unknown risks and uncertainties; figures discussed in this narrative are illustrative and the consolidated income statement and balance sheet that follow are the authoritative source.

Consolidated Income Statement

Valuation Date 2025-12-31

(In millions)

	Historical actuals		
	2023	2024	2025
Revenue	213.77	228.37	243.97
COGS	82.88	88.54	94.59
Gross Profit	130.89	139.83	149.38
Operating Expense	50.3	53.74	57.41
Operating Income	80.59	86.09	91.97
D&A	2.14	2.28	2.44
EBITDA	82.73	88.37	94.41
EBIT	80.59	86.09	91.97
Tax	20.15	21.52	22.99
Net Income	60.44	64.57	68.98
CapEx	5.43	5.8	6.2
Change in NWC	4.43	4.73	5.05

Consolidated Balance Sheet

(In millions)

	Historical actuals		
	2023	2024	2025
Assets			
Current Assets	71.88	76.45	81.32
Cash and cash equivalents	51.73	55.02	58.53
Accounts receivable	15.06	16.02	17.04
Inventories	4.3	4.57	4.86
Other current assets	0.79	0.84	0.89
Non-current Assets	37.76	37.76	37.76
Property, plant and equipment	23.55	23.55	23.55
Intangible Assets	11.44	11.44	11.44
Other non-current assets	2.77	2.77	2.77
Total Assets			
Liabilities & Shareholders' Equity			
Liabilities	7.17	7.44	7.72
Current Liabilities	5.81	6.08	6.36
Accounts payable	1.75	1.86	1.98
Short-term debt	1.65	1.65	1.65
Other current liabilities	2.41	2.57	2.73
Non-current Liabilities	1.36	1.36	1.36
Long-term debt	1.09	1.09	1.09
Other non-current liabilities	0.27	0.27	0.27
Equity	98.89	103.12	107.62
Common stock	21.14	21.14	21.14
Series Seed Preferred stock	5.05	5.05	5.05
Series A Preferred stock	6.29	6.29	6.29
Retained Earnings	66.41	70.64	75.14
Total Liabilities & Shareholders' Equity	106.06	110.56	115.34